

THE OUTLAW CHRONICLES

ISSUE #3 COMPANION TOOL • MAY 2026

# SHA Survival Kit

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Three tools in one: a gap-check guide for your existing shareholders agreement, an IP assignment template you can actually use, and a letter to your lawyer with the five questions already written.

## WHAT'S INSIDE

- ✂ Part 1 — The 5-Point SHA Gap Check
- ✂ Part 2 — IP Assignment Agreement Template
- ✂ Part 3 — Letter to Your Lawyer (copy, fill, send)
- ✂ Part 4 — More Free Resources

## PART 1

# The 5-Point SHA Gap Check

For each gap: the exact search term to run in your SHA, what the red flag looks like, and what a working clause actually says. Run this before your next funding round, before anyone joins the cap table, and before anyone leaves.

## GAP 01

## Deadlock Resolution

## SEARCH FOR

"deadlock"

## RED FLAG

Not found — or found with no resolution mechanism following it. Two 50/50 founders with no tiebreaker.

## WHAT GOOD LOOKS LIKE

"In the event that the founders cannot reach agreement on a Reserved Matter within [X] days, the following mechanism shall apply: [casting vote / Russian roulette buy-sell / mediation followed by binding arbitration]." A named process with a named outcome.

## GAP 02

## Leaver Definition

## SEARCH FOR

"good leaver" "bad leaver" "leaver"

## RED FLAG

One category only ("left"), or defined as "as the board may determine" — which means the outcome is undefined until the dispute.

## WHAT GOOD LOOKS LIKE

Two categories, defined in plain English. Good leaver (death, serious illness, unfair dismissal, agreed resignation) → fair market value. Bad leaver (voluntary resignation, breach, competing business) → original cost or lower. Defined before anyone leaves.

## GAP 03

# IP Assignment

SEARCH FOR

"intellectual property" "pre-existing" "IP assignment"

RED FLAG

IP clause covers only IP created "in the course of employment" or "after incorporation."  
Silent on anything built before the company existed. If you incorporated online and nobody asked you to list pre-existing IP separately, you likely have this gap.

WHAT GOOD LOOKS LIKE

A separate IP Assignment Agreement (see Part 2) signed by every founder, listing pre-existing IP by name and date, formally assigning it to the company. The SHA cross-references it.

## GAP 04

## Drag-Along Threshold

## SEARCH FOR

"drag-along" "drag along"

## RED FLAG

Threshold says "majority" and you have two 50/50 founders — meaning drag-along only triggers when both agree, making it functionally useless as a mechanism to force a sale.

## WHAT GOOD LOOKS LIKE

Threshold set at a level that actually works — typically 75% for drag-along. Confirm the mechanism applies and is enforceable under the law of your specific jurisdiction.

## GAP 05

## Option Pool Expansion

## SEARCH FOR

"option pool" "ESOP" "reserved matters"

## RED FLAG

No pre-agreed mechanism for expanding the pool. Any future expansion requires unanimous consent — negotiated in crisis when you're trying to close a funding round.

## WHAT GOOD LOOKS LIKE

A pre-agreed maximum pool size and a mechanism for expansion with a realistic consent threshold. Not 100%. Agreed now, before anyone has leverage.

## THE 30-MINUTE RULE

You do not need a full SHA rewrite. You need a 30-minute conversation with a startup lawyer focused on exactly these five points. Use the letter in Part 3 to make that conversation happen today, not after the next time someone joins or leaves the cap table.

## PART 2

# IP Assignment Agreement

Starting point only. This template covers the most common scenario. Have your lawyer review before signing — jurisdiction matters, and so does the specific IP being assigned.

## INTELLECTUAL PROPERTY ASSIGNMENT AGREEMENT

This Intellectual Property Assignment Agreement (“**Agreement**”) is made on [DATE] between:

[ASSIGNOR FULL NAME], of [address] (“**Assignor**”)

AND

[COMPANY NAME], [registration number], of [registered address] (“**Company**”)

### 1. Background

1.1 The Assignor has developed certain intellectual property prior to or independently of the Company’s incorporation (“**Pre-Existing IP**”).

1.2 The Company requires ownership of the Pre-Existing IP in order to carry on its business.

### 2. Assignment

2.1 In consideration of [£1 / their shareholding / other consideration], the Assignor assigns to the Company, with full title guarantee, all right, title and interest in and to the Pre-Existing IP set out in Schedule 1, including all associated intellectual property rights.

2.2 The assignment includes the right to apply for registration of any intellectual property rights in any jurisdiction.

### 3. Warranties

3.1 The Assignor warrants that: (a) they are the sole and exclusive owner of the Pre-Existing IP; (b) it does not infringe any third-party rights; (c) they have not assigned, licensed, or otherwise encumbered it.

### 4. Further Assurance

4.1 The Assignor agrees to execute any further documents reasonably required to give effect to this Agreement.

### 5. Governing Law

5.1 This Agreement is governed by the laws of [jurisdiction — e.g. England and Wales / Delaware / Kenya].

Schedule 1 — Pre-Existing IP

| DESCRIPTION                                     | DATE FIRST CREATED | FORMAT / LOCATION         |
|-------------------------------------------------|--------------------|---------------------------|
| e.g. Backend API source code for [product name] | [date]             | e.g. GitHub / local files |
| e.g. Product design files                       | [date]             | e.g. Figma project        |
| [Add all rows that apply]                       |                    |                           |

Signatures

|                                           |                 |
|-------------------------------------------|-----------------|
| <div>Assignor signature</div>             | <div>Date</div> |
| <div>Company (authorised signatory)</div> | <div>Date</div> |
| <div>Name &amp; Title</div>               |                 |

## PART 3

# Letter to Your Lawyer

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Copy this. Fill in the brackets. Send it today. The most common reason founders don't fix their SHA gaps is not knowing how to instruct a lawyer on something they only half-understand. This does it for you.

## Subject

SHA review — 5 specific gaps, 30 minutes

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Dear [Name],

I'd like you to review our current shareholders agreement against five specific points before [our next funding round / [name] joins the cap table / we proceed with [event]].

I'm not asking for a full rewrite. I need a focused 30-minute review on these gaps, with a confirmation of: (a) whether each gap exists, (b) what fixing it would cost, and (c) whether any can be addressed with a simple addendum rather than a full SHA rewrite.

The five points:

1. **Deadlock mechanism.** We are [50/50 / X%/Y%] founders. Does our SHA have a workable resolution process if we cannot agree on a Reserved Matter? If not, what would adding one cost?
2. **Leaver definitions.** Does our SHA distinguish between a "good leaver" and a "bad leaver"? Are both defined in plain language — not "as the board may determine"? Does the buyout price differ between them?
3. **IP assignment.** Does our SHA cover IP created before incorporation, or only IP created after? We [have / have not] executed a separate IP Assignment Agreement. Please confirm whether any pre-incorporation IP is unassigned.
4. **Drag-along threshold.** At our current ownership structure, does the drag-along clause function as intended — or does the consent threshold make it practically unusable?
5. **Option pool.** Is there a pre-agreed mechanism for expanding the option pool without unanimous consent?

Happy to send the current SHA if you don't have it on file.

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Thanks,

[Your name]



## PART 4

# More Free Resources

Every issue of The Outlaw Chronicles ships with a free tool. These are the ones built so far.

**ISSUE #2 TOOL****SAFE Stacking Model**

Pre-filled with Andy and Alfi's numbers from the pre-money vs. post-money SAFE story. See the stacking effect in real time, then clear the yellow cells and plug in your own. Shows you what your Series A conversion math actually looks like before the lawyers run it.

[docs.google.com/spreadsheets/d/1HlTCTo55wv003nwa0rlbtPy-LcCaD9nGZMy33LcMdw/copy](https://docs.google.com/spreadsheets/d/1HlTCTo55wv003nwa0rlbtPy-LcCaD9nGZMy33LcMdw/copy)

**ISSUE #3 TOOL****SHA Survival Kit (this document)**

The 5-point gap check, the IP Assignment template, and the letter to your lawyer. Share with your co-founder or anyone reviewing a shareholders agreement for the first time.

[mexzungu.com/downloads/sha-survival-kit.pdf](https://mexzungu.com/downloads/sha-survival-kit.pdf)

**THE FULL ARCHIVE****The Outlaw Chronicles**

Every issue, every tool. Corporate legal architecture for founders who were never supposed to be in the room.

[mexzungu.com/resources/outlaw-chronicles-002](https://mexzungu.com/resources/outlaw-chronicles-002) · [outlaw-chronicles-003](https://mexzungu.com/resources/outlaw-chronicles-003)

## Want the real thing?

30-minute call. No pitch. You bring the cap table question, I bring the answer.

[mexzungu.com/talk\\_to\\_pepe](https://mexzungu.com/talk_to_pepe)

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This document is for educational purposes only. It does not constitute legal advice.

The IP Assignment template is a starting point — review with a qualified lawyer before use in any jurisdiction.